1. According to Bob, the data reveals that 20% of company's traffic accounts for branded keywords displayed through the sponsored ads shown on Google and high ROI on the ad spend. When a consumer searches for a keyword with Bazaar's name in it, then they are shown a sponsored ad, Google displays a link to the website followed by the links in the organic search results. According to Bob, the company should continue investing into paid search results as they mainly drive high website traffic and sales.

   Bob's position assumes that all sponsored ad clicks represent the entire traffic that wouldn't have found the site otherwise. He assumes that if a user clicks a sponsored ad, that click only happened because the ad was there, and if the paid ad is removed, then 20% of traffic will disappear completely rather than clicking the organic links directly underneath.

   Bob also seems to ignore the impact of other advertising channels. This assumption might be problematic as the brand's awareness is an outcome of collective advertising through various advertising channels. The keywords searches include the name of the company which signals that the customers are already aware of Bazaar's brand and website. Because they are actively looking for the brand, they are highly likely to click the organic link if the sponsored ad is absent. Therefore, Bob's assumption is problematic because it causes Bazaar to pay for traffic it would have received for free. This brand awareness can also be attributed to the brand's active social media presence and customers' engagement, positive brand's reputation, satisfactory users experience using the brand's website, usage of backlinks, positive word-of-mouth recommendations.

2. The company was running a sponsored ad campaign for 12 weeks, but there was a technical glitch in their system starting week 10, and the company had to suspend their Google campaign. Despite that, the sponsored ad results revealed that the average weekly traffic from organic clicks on Google increased in weeks 10-12. When a consumer used the search engine term including the Bazaar's name, the sponsored results didn't come up and the consumer clicked the company's website link in the organic list.

   From a SERP perspective, removing Bazaar's sponsored ad shifted the layout of the results page. If no competitors bid on the keyword, Bazaar's organic link moved to the absolute top of the page. However, even if Google displayed sponsored ads from competing brands in that top slot, consumer behavior remained unchanged.

   This may indicate that the customer was actively looking for the brand and its item meaning that the customer was highly aware of the brand and could be a resulting customer due to a positive previous experience and engagement with the brand and its website. My understanding of consumer behavior is that the customers deliberately scrolled past or ignored the sponsored results displaying other brands by Google and proceeded to click Bazaar's organic links signaling their loyalty to the brand. The increase of weekly traffic from organic clicks on Google is driven by cross-advertising through various media channels and includes the potential sponsored clicks.

3. According to Bob's ROI analysis, the ROI on ad spend yielded high results. The average cost per click for a sponsored click is $0.60. Once a consumer visits the Bazaar's website, their average probability

of making a purchase is 12%, and the average margin per conversion is $21. This leads to an average revenue per click of 0.12 x $21, or $2.52, which implies an ROI of ($2.52-$0.60)/($0.60), or 320%.

I disagree with Bob's ROI analysis because it assumes 100% of the sponsored ad clicks represent entirely new sales.

First, I would compute the ROI using the average Google traffic weeks 1-9 while the ads were on, and average Google traffic weeks 10-12 by taking the sum of both sponsored clicks and organic clicks on Google for each week, adding them all together, and dividing that total by 9 weeks and 3 weeks accordingly.

Sponsored and organic clicks (weeks 1-12):

Week	Sponsored Ad (weeks 1-9)	Organic Ad (weeks 1-9)	Organic Ad (weeks 10 -12)
1	32,110	124,300	
2	30,540	126,110	
3	31,220	125,550	
4	31,900	123,900	
5	31,450	124,800	
6	30,880	125,900	
7	32,010	124,200	
8	31,150	125,700	
9	31,250	126,300	
10			149,100
11			147,950
12			148,380
Total	**282,510**	**1,126,760**	**445,430**
Average	**31,390**	**125,196**	**148,477**

Total Average Sponsored + Average Ogranic clicks (weeks 1-9)	**156,586**
Total Organic clicks (weeks 10-12)	**148,477**
True weekly clicks generated by ads	**8,109**

Then, I would calculate the sum of average sponsored ad clicks and average organic clicks for weeks 1-9:

31,390 + 125,196 = 156,586

And, Total Organic clicks for weeks 10-12: **148,477**

True weekly clicks generated by ads can be calculated by deducting average weekly organic clicks from average weekly sponsored clicks:

156,586 - 148,477 = 8,109 clicks

True weekly revenue margin can be calculated multiplying by weekly true clicks by average revenue per click of 0.12 x $21:

8,109 clicks x (0.12 x $21) = $20,434.68

Total weekly ad investment spent can be calculated by multiplying average sponsored ad clicks by average cost per click for a sponsored click $0.60:

31,390 clicks x $0.60 = $18,834.00

Actual ROI can be calculated by deducting weekly ad investment spent from true weekly revenue margin and then dividing by cost of investment:

($20,434.68- $18,834.00) / $18,834.00 = +8.49%

Only 8,109 clicks were truly incremental, dropping the actual ROI from Bob's inflated 320% down to just +8.49%.